



JPMorgan Chase & Co
NYSE: JPM

Recommendation: LONG

Financials Coverage

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Investment Overview

JPM is a fortress that keeps getting stronger

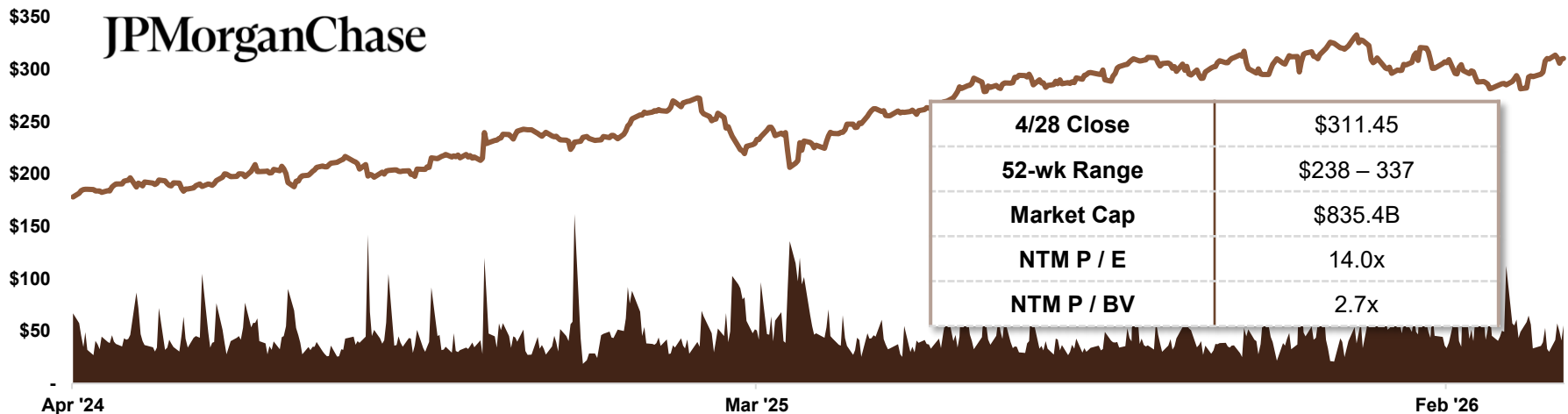


Recommendation and Thesis Outline

We recommend **JPM** as a **BUY** with a **3-year price target of \$420** per share, representing an upside of **~35%** from April 28, 2026 close

- The U.S banking landscape is undergoing a transition that **favours the giant corporations**
 - Regional banks are under heavy pressure from rising funding costs and tightening regulatory scrutiny
 - JPM's large size allows them to take advantage of periods of volatility
- **Extensive technology spending** has been driving JPM's growth
 - JPM is the largest technology spender out of all financial institutions leading to expenses growing much slower than revenue over the last 5 years
- NIL Resiliency and **superior ROTCE** are driving strong returns
 - JPM operated at a 20% ROTCE in FY2025 and is tracking for ~21.5% for FY2027, as the firm shifts towards a fee-based model

JPM 2-YR Stock Performance and Key Metrics





Company Overview

Company Overview

The highest-quality universal bank



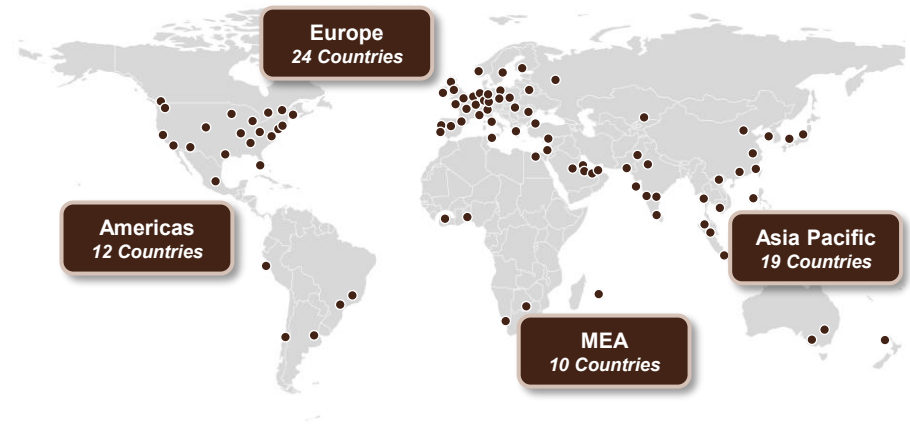
America's Largest Bank's by Scale

Key 2025 Metrics

Total Revenue	\$182.4B
Net Income	\$57.0B
ROTCE	19.5%
AUM	~\$4.8T
Employees	317,000+
Countries of Operation	66
% Share of Total US Deposits	~13.5%

Strong International Presence

JPMorgan Chase Global Locations



Key Business Segments

CCB Consumer & Community Banking

\$76.0B

Retail Banking · 60M+ customers · 4,700+ branches

CIB Commercial & Investment Bank

\$78.5B

M&A Advisory · Capital Markets · Sales & Trading

AWM Asset & Wealth Management

\$24.1B

\$4.8T AUM · Private Banking · 19 countries

CORP Corporate

\$3.8B

Treasury & Investments · Mid-market Lending

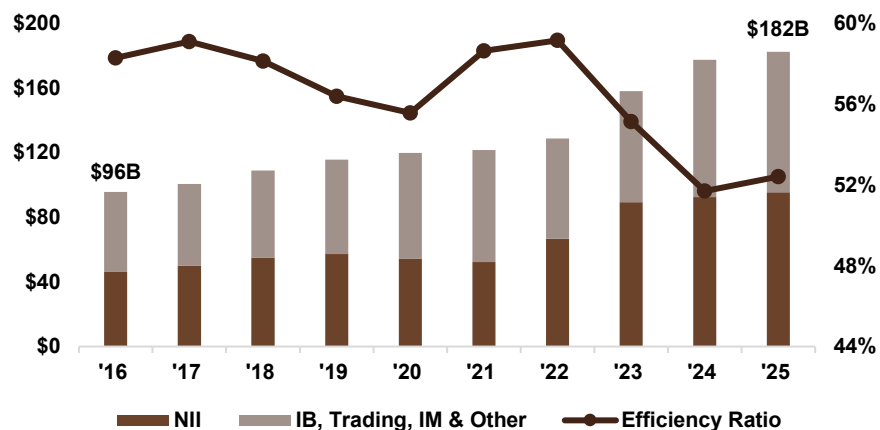
Financial Snapshot

Disciplined cost control and low-cost funding drive sustained returns



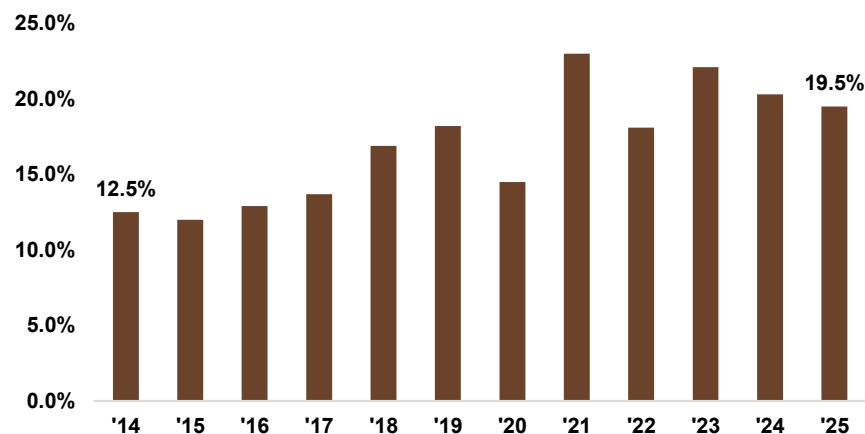
Enhanced Efficiency...

Segment Revenue (\$B) and Efficiency Ratio¹



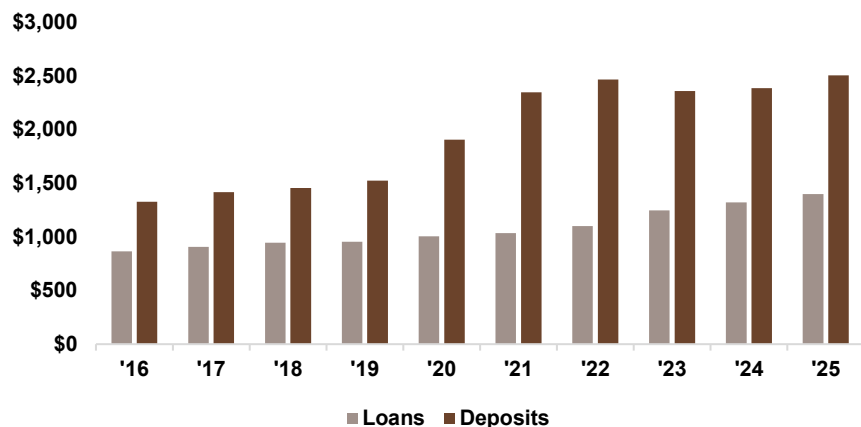
...Has Driven Supreme ROTCE

Return on Tangible Common Equity (ROTCE)

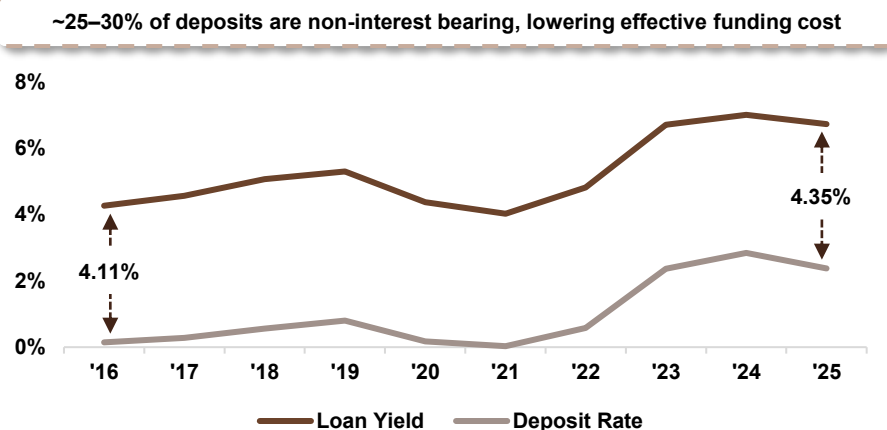


Low-cost Deposits Drive Net Interest Margin Expansion

Loans and Deposits (\$B)



Loan Yield & Deposit Rate (NIM %)



Management Highlight

Renowned management spearheads future innovation

Key Players In Management



Jamie Dimon

Chairman & Chief Executive Officer



Jeremy Barnum

Chief Financial Officer



Jennifer Piepszak

Chief Operating Officer



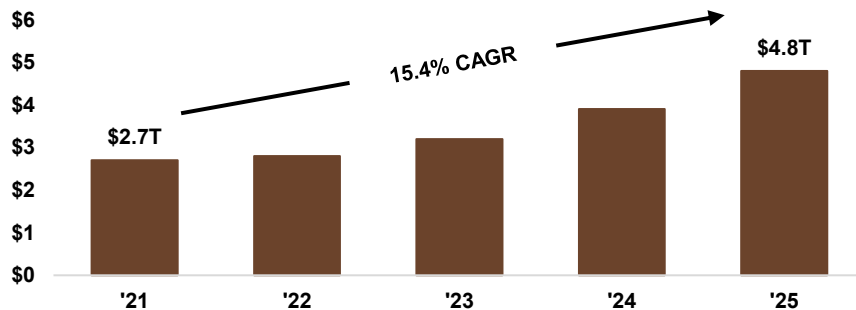
Daniel Pinto

Vice Chairman

Growth Plans

AUM (\$USD) Growth in Trillions

JPM's AUM has grown steadily since 2021, reflecting that strength of its brand, scale, and client retention.



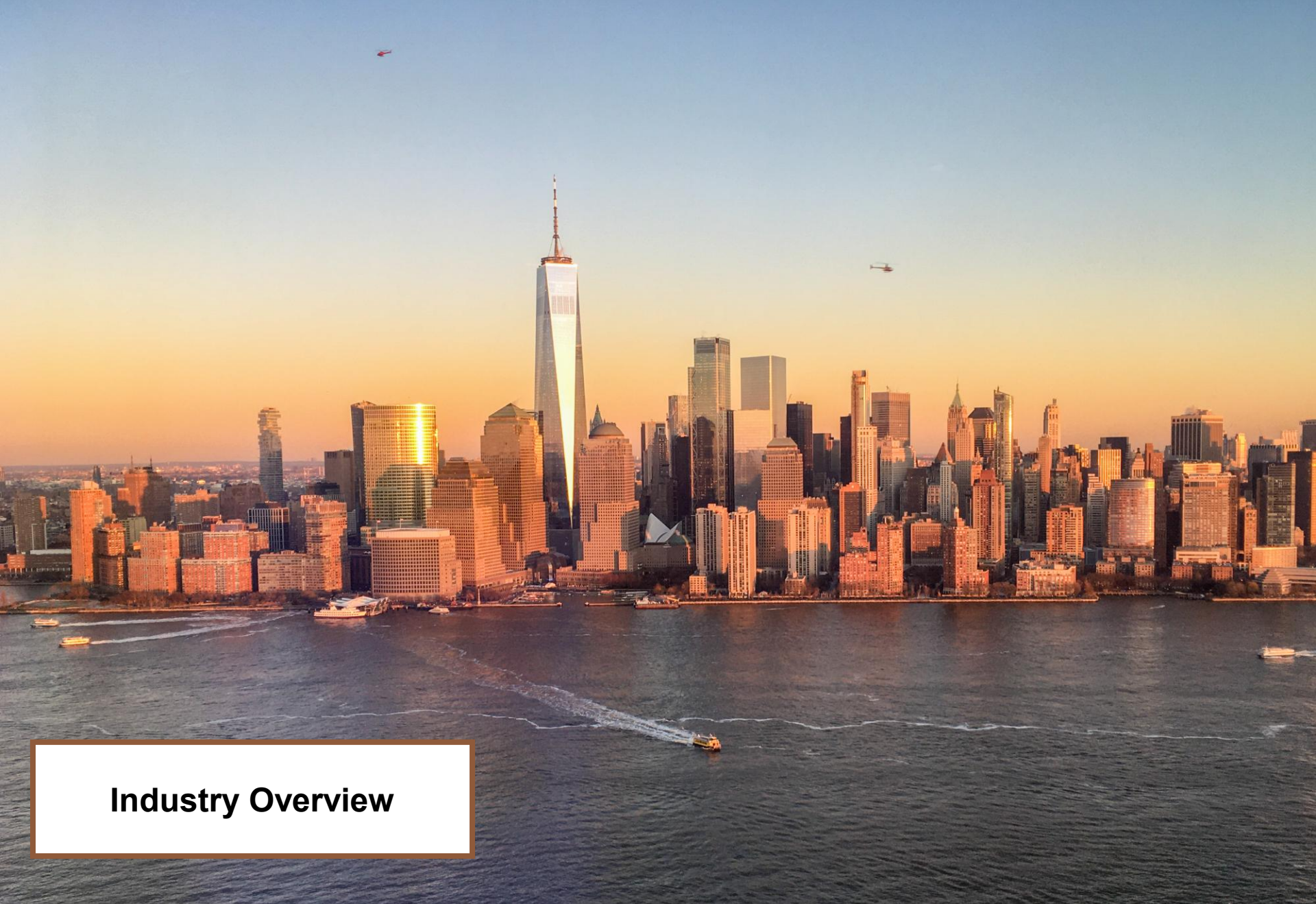
Goals for 2026



Continuous **innovation** and transformation by transforming investments in resiliency (**10% YoY growth in Tech Spending**) into outperforming digital platforms to improve **customer experience**.



Open **160 branches** in 30 different states and renovate ~600 locations to strengthen presence as a leading client franchise and **deepen client relationships**.



Industry Overview

Industry Overview

Current U.S. banking landscape

Major Players in the Industry

Large Cap Universal Banks



Regional Banks

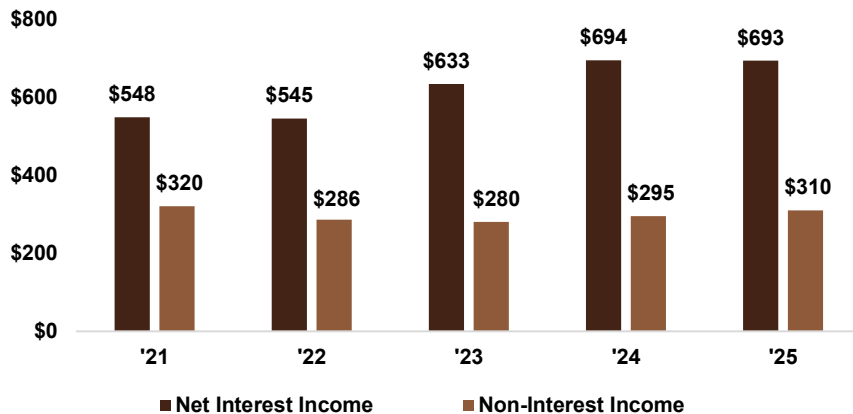


Fintech/Digital Banks



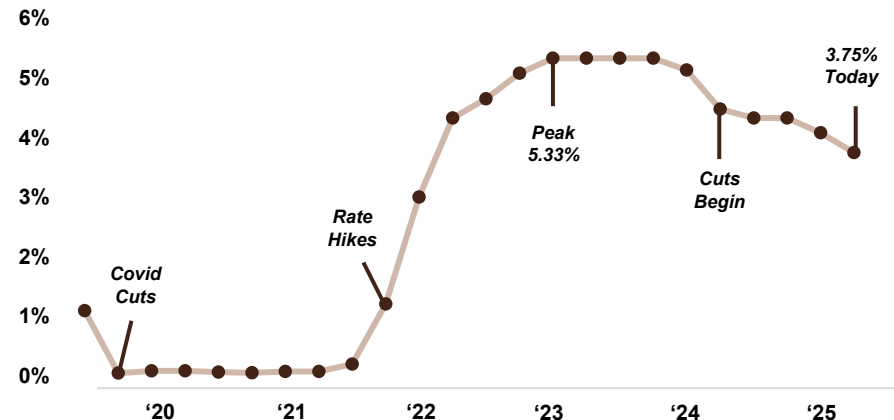
US Banking Industry Revenue Diversification

NII & Non-Interest Income Revenue (\$B)



Interest Rate Environment

Interest Rate Shifts from 2020 - 2025

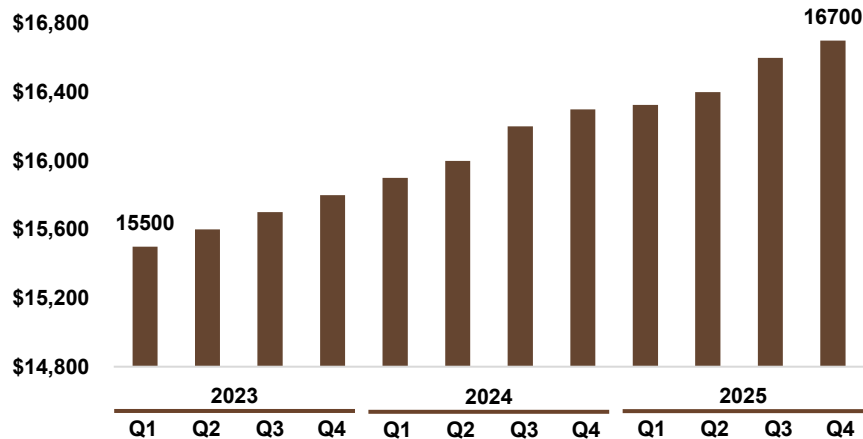


Industry Tailwinds

Consumer spending, the rate environment, and technological advancements are driving growth.

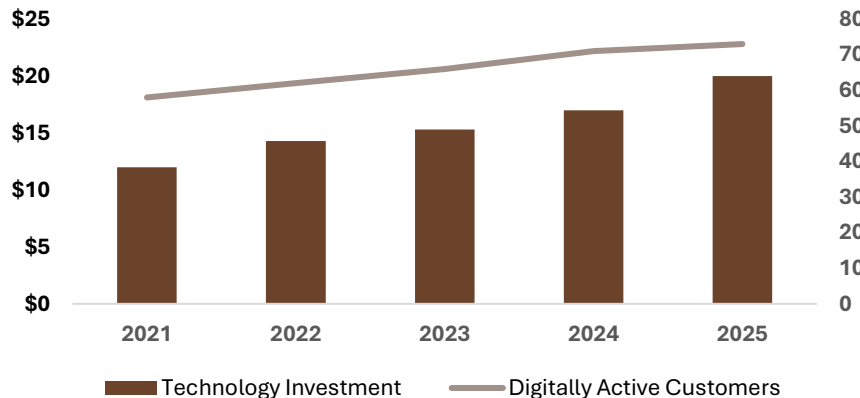
Consumer Appetite For Spending Is Growing

Consumer Spending (\$USD) in Billions



Digital Interaction Growth

Technology Spending (\$USD) in Billions vs Customers in Millions



Interest Rate Environment Keeps Deposit Costs Lower

Lending Rate Environment

Credit Card Rate
Charged to
borrowers

0-12%

20-28%

Deposit rate
Paid to depositors

0-4%

4-8%

0% 4% 8% 12% 16% 20% 24% 28% 30%

Lower range — credit card

Upper range — credit card

Lower range — deposit

Upper range — deposit

Summary

Key Drivers in the U.S. Banking Space



Consumer spending remains elevated, supporting JPMorgan's NII



Extensive tech spending is fostering digital expansion and fostering more customer interaction



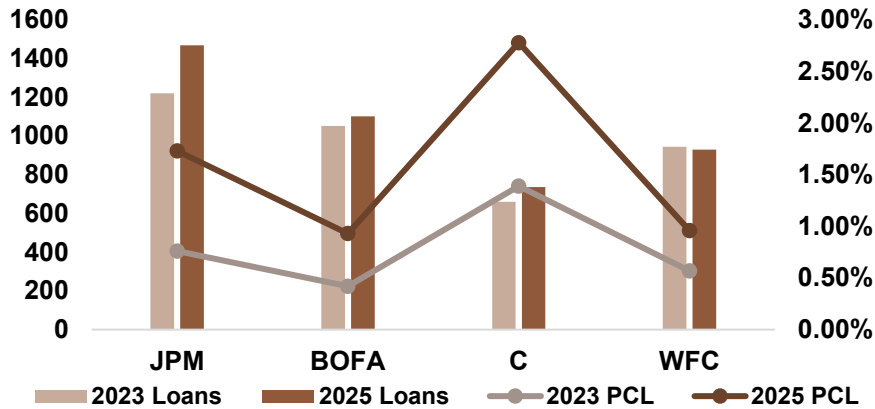
Increasing capital markets activity generates stronger fee-based revenue for banks

Industry Headwinds

Cyclical and structural challenges weigh on industry profitability

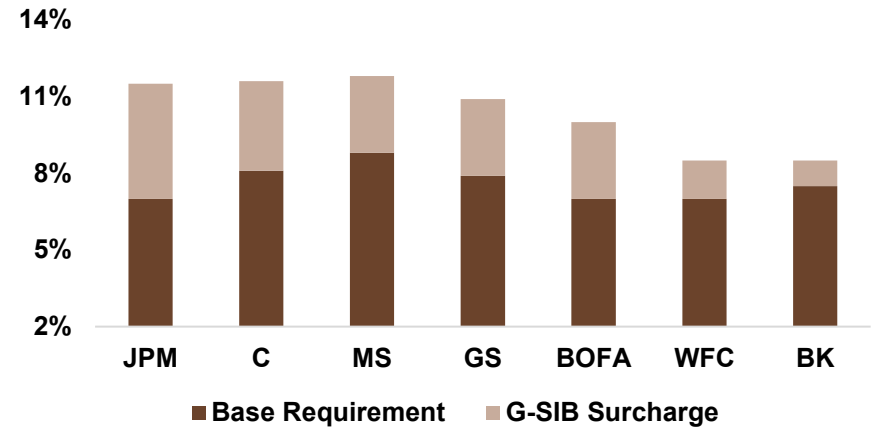
Recession Risks Drive Surge in Loss Provisions

Provision for Credit Losses Growth (\$B)



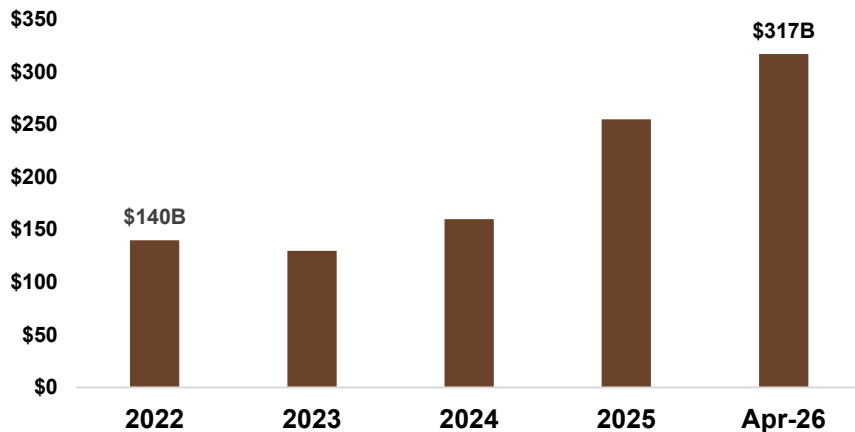
Higher Capital Requirements Compress ROE

G-SIB Capital Surcharge by Bank



Stablecoin Growth Threatens Deposit Base

Stablecoin Market Capitalization (\$B)¹



Supercharged by Genius Act



- Stablecoin market cap hit \$317B as of April 2026
- Represents more than 50% growth since early 2025

Siphons Billions in Deposits from Banks²



- \$500 billion projected outflow from developed-market banks by the end of 2028 (Standard Chartered)

A photograph of the JPMorgan Chase building entrance at night. The building has a modern glass facade with the company name in large, illuminated, gold-colored letters. Three people are visible: a man in a dark suit standing on the left, a woman in a light purple shirt and white pants standing in the center with her back to the camera, and another man in a dark suit standing on the right. A wooden railing is in the foreground on the left.

JPMorganChase

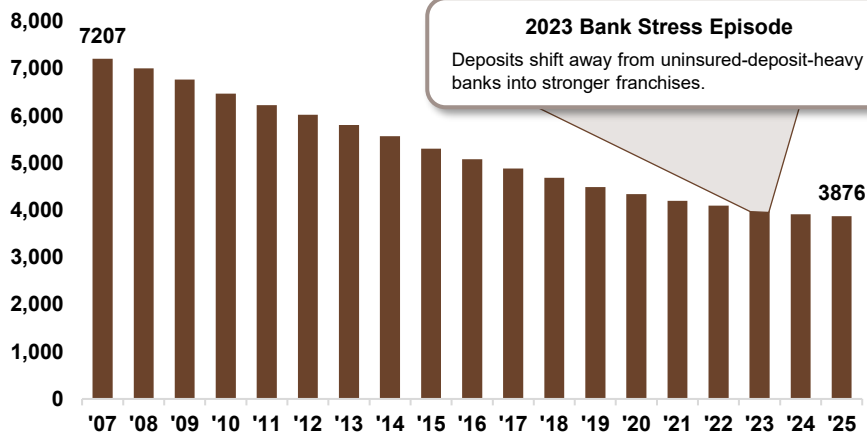
Investment Thesis

Bank Consolidation Favors the Giants...

As the U.S. banking market compresses, JPM is positioned to capture share

The U.S. Banking Industry is Consolidating Quickly

Commercial Banks in the United States¹

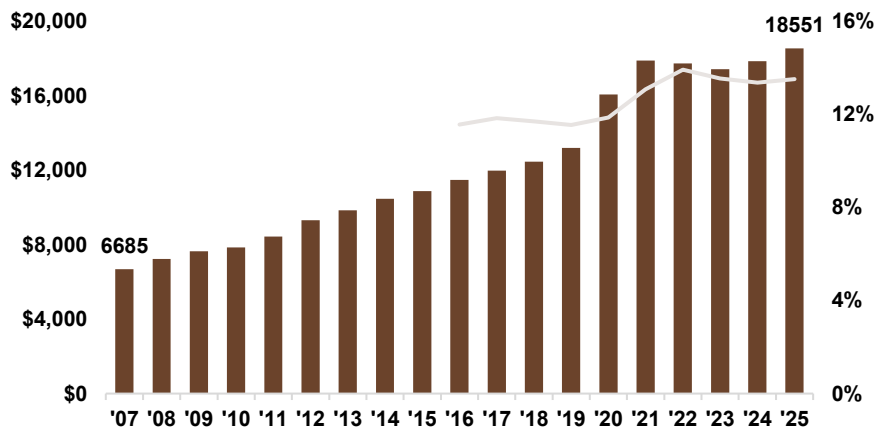


Why is This Happening?

- 1 Higher regulatory and compliance costs
- 2 Lower interest rates and weaker spreads
- 3 Technology cost scale efficiency

Consolidation Drives Structural Profitability

Total U.S. Deposits (\$B)¹ and JPM Deposit Share (%)



What This Means for JPM



Market share consolidation

Deposit share gains accelerate as smaller banks exit



Structural funding advantage

Scale enables lower-cost, more stable deposit base



Earnings impact

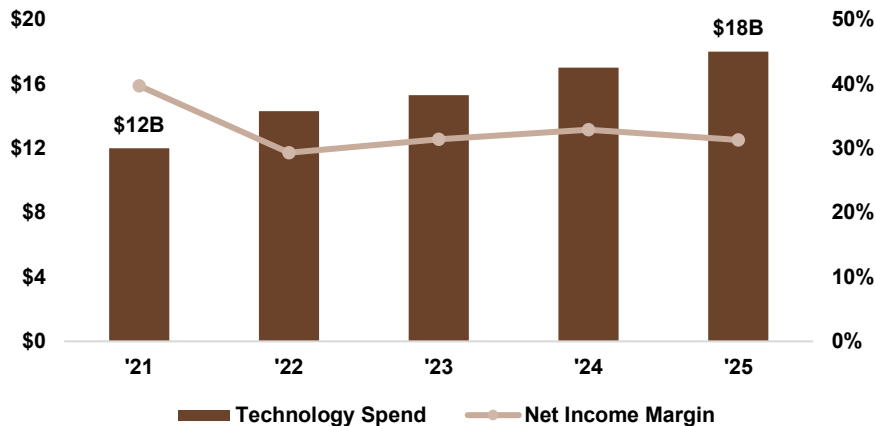
Improved funding mix supports durable NIM and ROTCE

Tech Spending Drives Growth

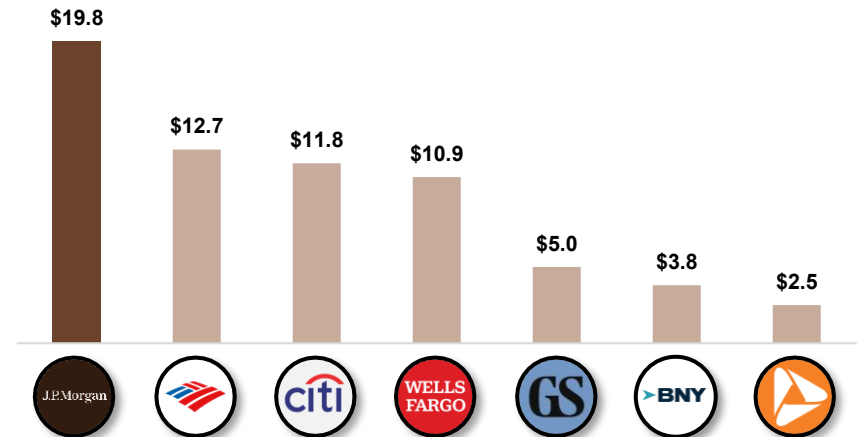
Targeted tech spend allows JPM to improve efficiency and customer satisfaction

Net Income Margin Remains Unaffected Despite Consistent Increases in Tech Spend

Technology Spend (\$B) and Net Income Margin



Technology Spend (\$B) vs. Competitors



Internal Incorporation

JPM is Working to Ensure Internal Operational Efficiency



"We will not put our heads in the sand. We will deploy AI, as we deploy all technology, to do a better job for our customers (and employees)."
- Jamie Dimon, Letter to Shareholders 2026

"JPM will be an endgame winner in the AI space...if you have a very high tech spend and you know exactly what you're doing and where you're headed and you're very disciplined about it, you have a higher probability that you're going to have success."

-Mary Callahan Erdoes (CEO of JPM AWM Branch)



External Incorporation & What's Coming

JPM is Deploying New Technologies to Customers and Businesses



Virtual Customer service platforms allow for ease of use from anywhere.



Integration of Buy Now, Pay Later (BNPL) allows for JPMorgan to stay competitive in a new era of spending.



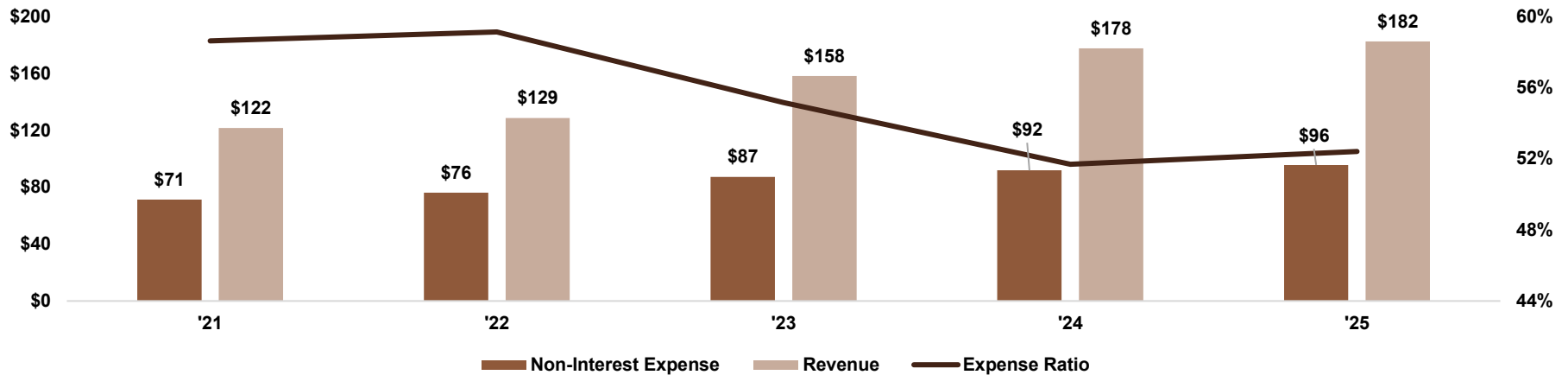
Expansion of Virtual Card with Mastercard into Europe will generate more B2B revenue.

Seeing Returns in the Form of Efficiency

JPM's cutting-edge technology use reduces costs and increases versatility

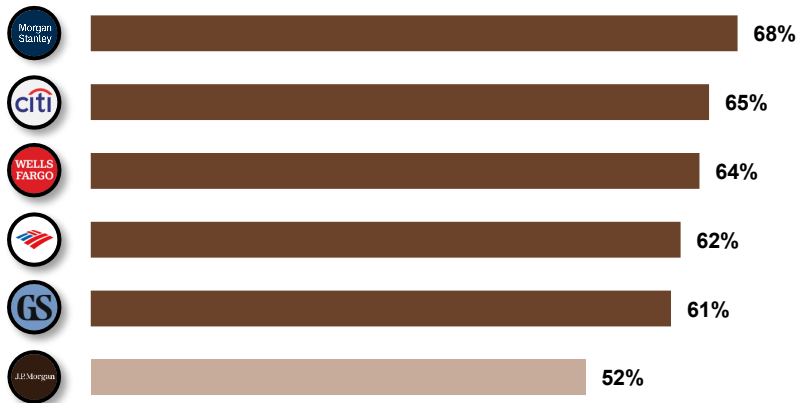
JPM's Efficiency Ratio is Feeling the Benefits

Non-Interest Expense, Revenue, and Expense Ratio



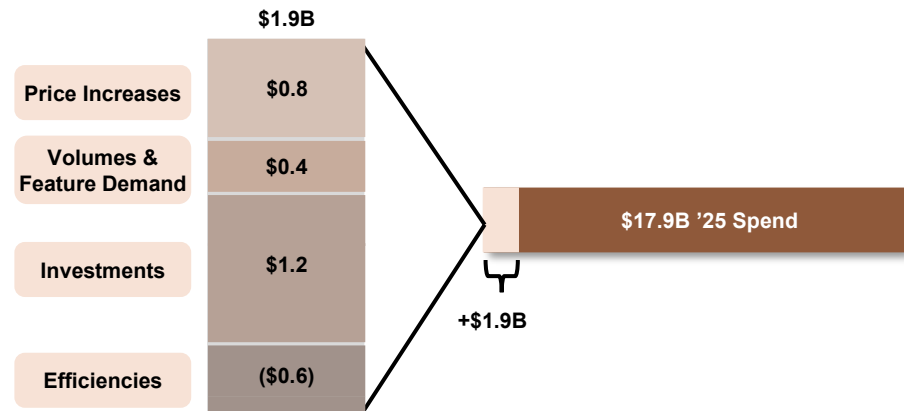
JPM Dominates in Efficiency

Efficiency Ratios of Large Cap Banks



Tech Budget Increased from \$17.9B to \$19.8B for '26

Layout for Increase In Tech Budget



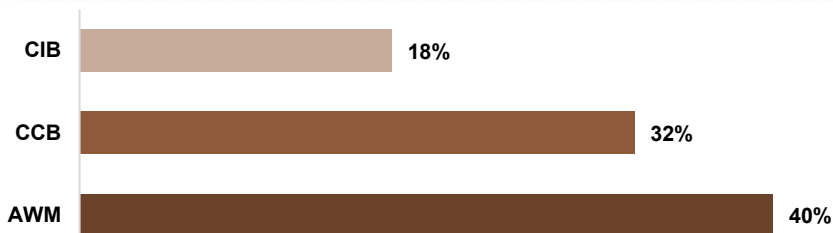
JPM Consistently Delivers Superior ROTCE

Management's initiatives have all pointed towards one metric: growing ROTCE

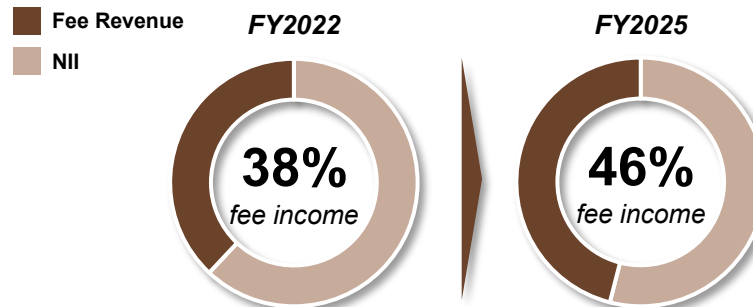
Breakdown of ROTCE Growth Drivers

AWM's 40% ROE Pulls Firm ROTCE Higher

AWM earned nearly 2x the firm average ROTCE since it is a fee-driven, capital-light business that doesn't require the same level of regulatory capital as lending/trading. AWM mechanically lifts the firm-wide returns



JPM's Revenue Has Shifted Toward Fees

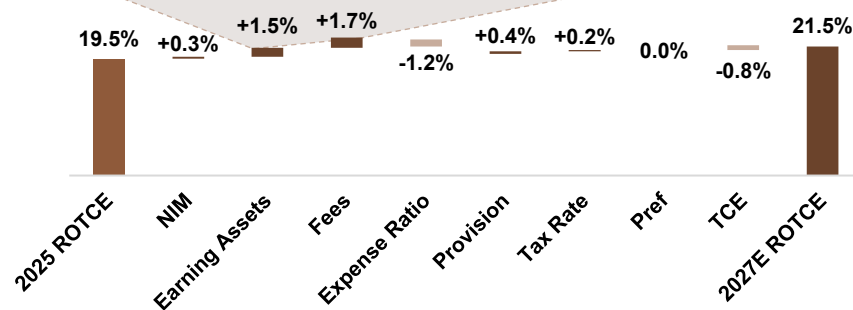


Fee income is rate independent, so as NII compresses in 2026, JPM's **growing fee base absorbs the headwind** and **protects ROTCE**

JPM's ROTCE Path

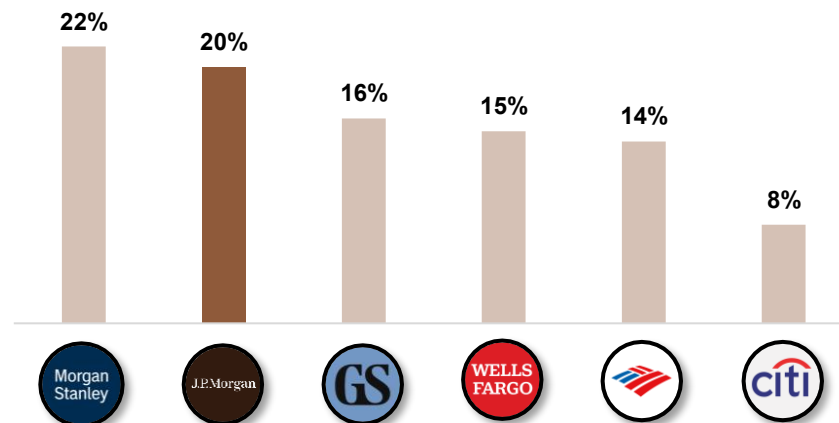
Fee Income and Earning Asset Growth to Drive ROTCE Expansion

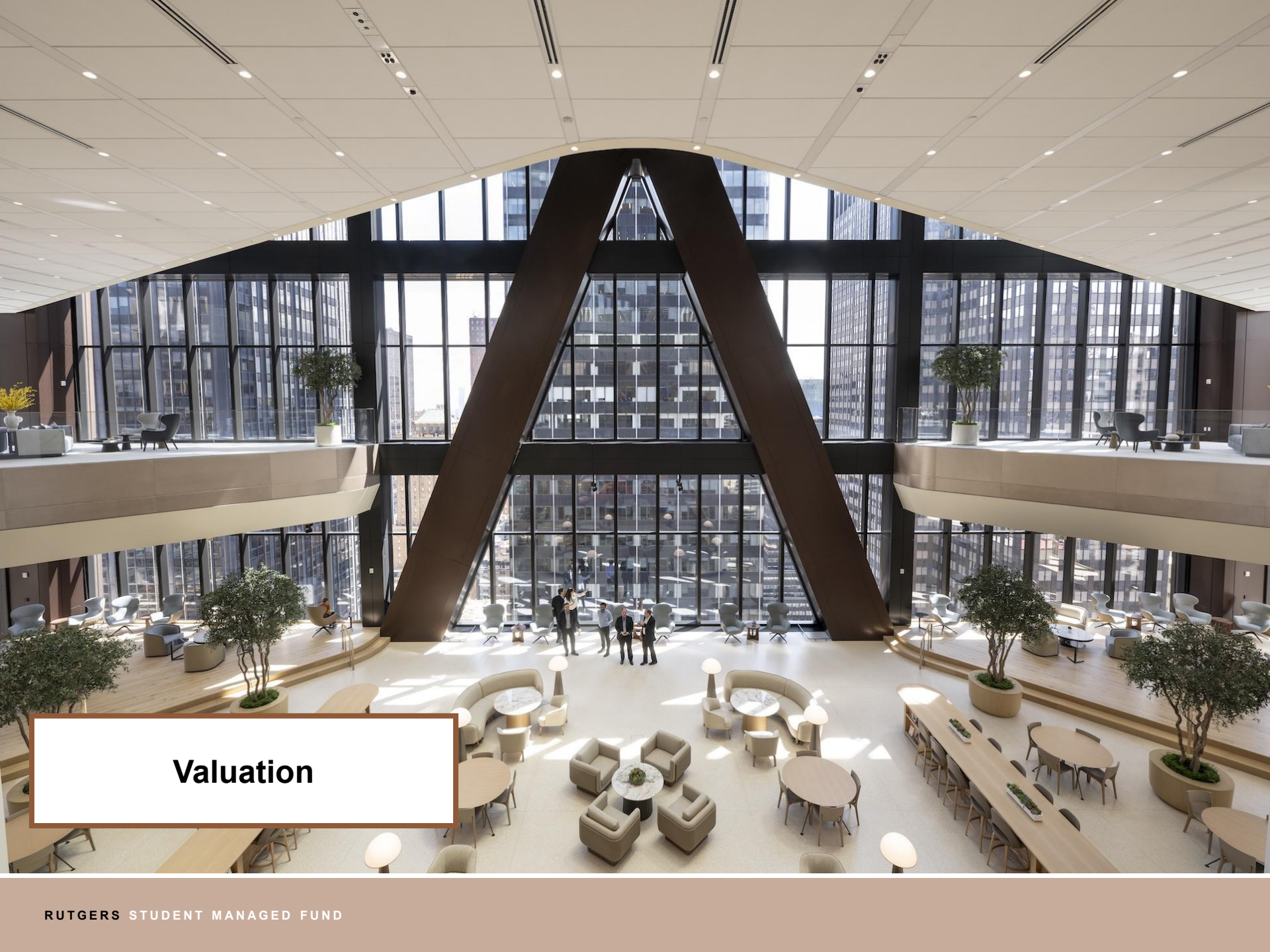
Fees and earning asset expansion are the two largest positive drivers offsetting headwinds



JPM's FY2025 ROTCE vs Comps

Reported/Estimated Comps ROTCE





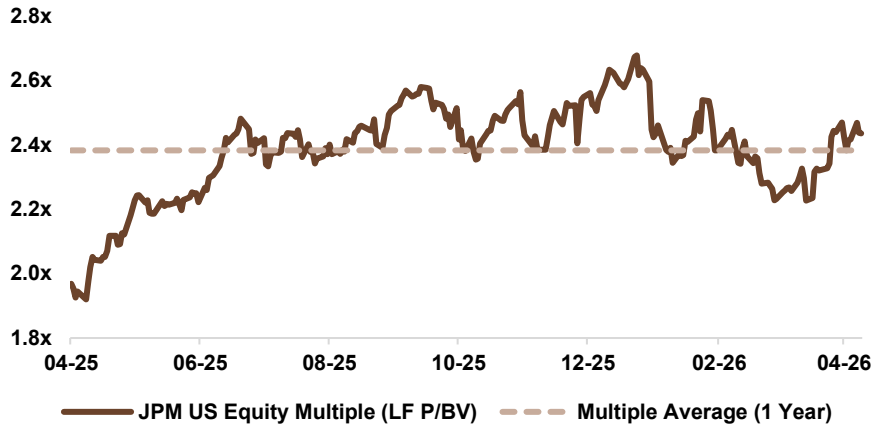
Valuation

Valuation

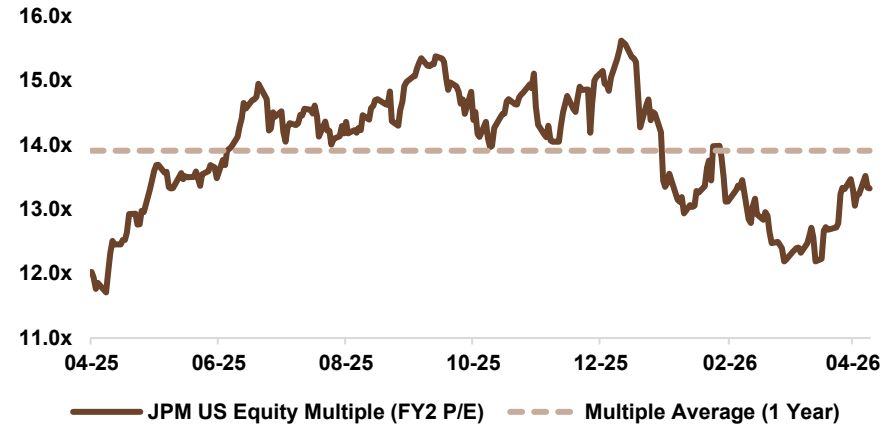
Premium quality at a justified valuation with meaningful upside

JPM Trades at an Attractive Valuation – at or Below 1Y Averages

JPM 1Y P / BV

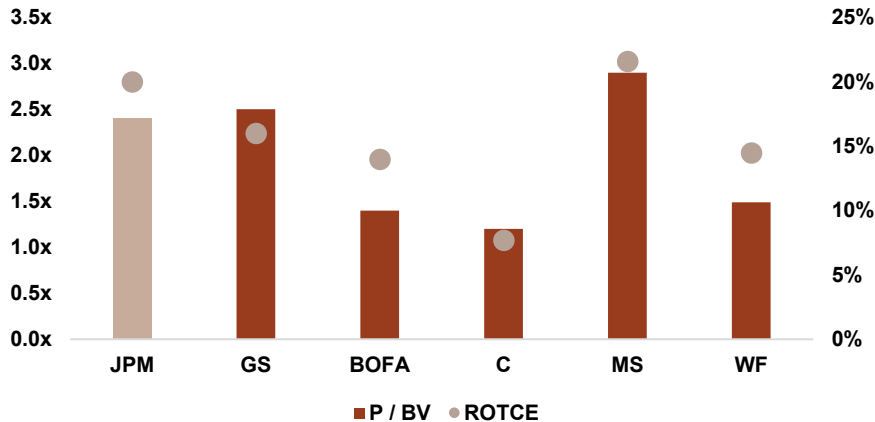


JPM 1Y P / E



Peer Valuation Comparison

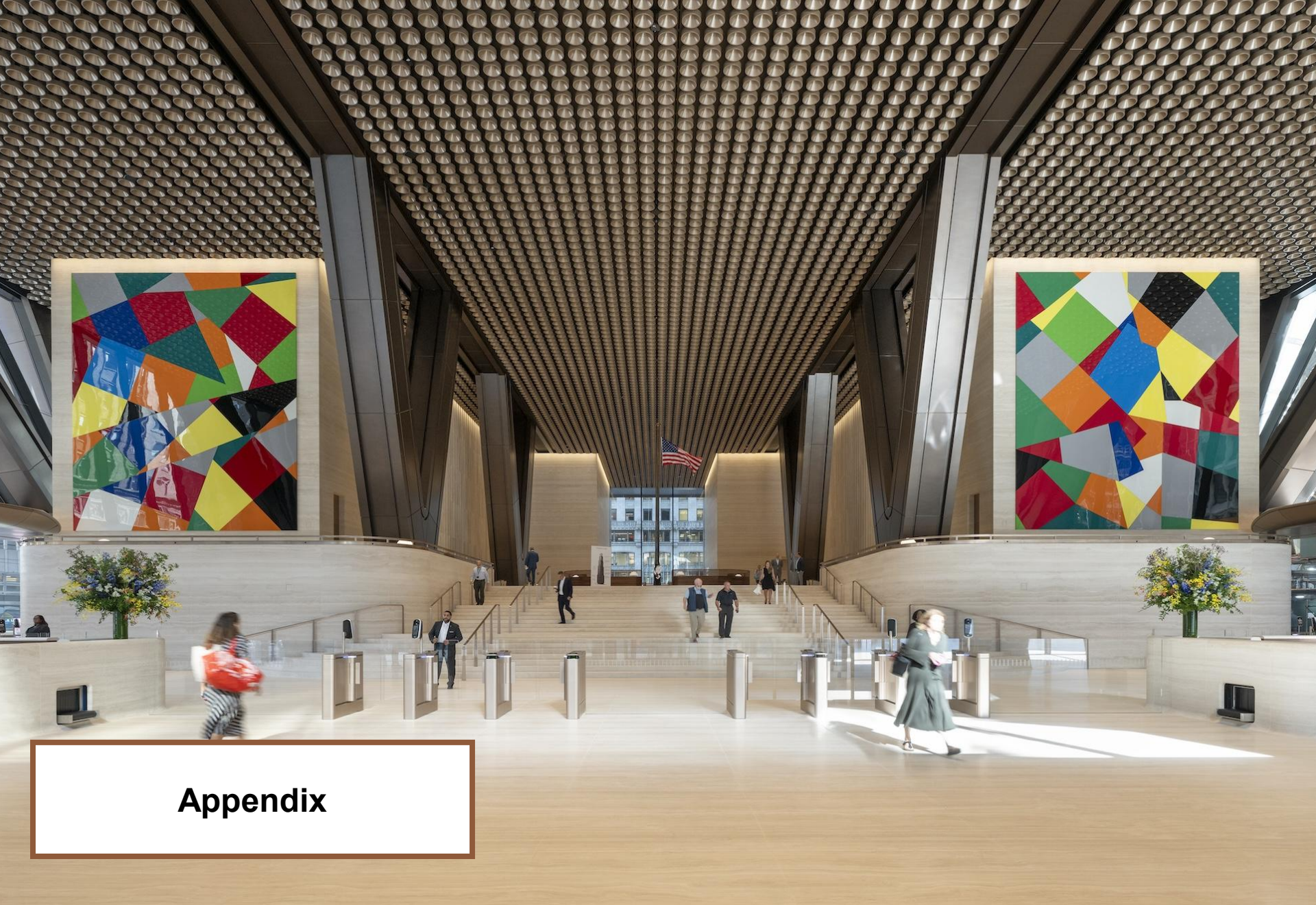
Competitors P / BV and ROTCE (%)



\$415 Target Supported by Earnings Growth

Price Target Sensitivity

		2029 Diluted EPS				
		27.94	28.94	29.94	30.94	31.94
Multiple	13.6x	379.98	393.58	407.18	420.78	434.38
	13.8x	385.57	399.37	413.17	426.97	440.77
	14.0x	391.16	405.16	419.16	433.16	447.16
	14.2x	396.74	410.94	425.14	439.34	453.54
	14.4x	402.336	416.736	431.13	445.53	459.93



Appendix

SMF Appearance on CNBC Stock Draft

Ritvik "Ricky" Sharma saw the potential in JPM early

"Choppy waters are ahead, but what better CEO to choose and believe in than Jamie Dimon?"

- Ritvik Sharma, SMF PM 2022-23



JPM Operating Metrics and Assumptions

Conservative estimates support upside versus consensus expectations



JPM	2025A	2026E	2027E	2028E	2029E	2030E
Net Interest Income	\$95,443	\$109,826	\$116,357	\$122,804	\$127,594	\$132,273
Non-interest Income	87,004	90,672	94,512	98,533	102,743	107,152
Net Revenue	\$182,447	\$200,499	\$210,870	\$221,337	\$230,337	\$239,426
Pre-provision Profit	86,807	96,239	101,217	106,242	110,562	114,924
Net Income	57,048	63,744	67,372	71,237	74,495	77,999
Diluted EPS	\$20.51	\$23.50	\$25.48	\$27.63	\$29.64	\$31.83

Efficiency Ratio	52.4%	52.4%	52.4%	52.4%	52.4%	52.4%
Provision / Net Revenue	7.8%	7.5%	7.5%	7.5%	7.5%	7.5%
Cost of Funds	3.1%	3.0%	3.0%	3.0%	3.0%	3.0%

JPM Revenue Growth by Segment

Diversified segment growth supports durable earnings expansion



JPM	2025A	2026E	2027E	2028E	2029E	2030E
Trading Revenue Growth (%)	9.8%	9.0%	5.0%	4.0%	3.0%	3.0%
IB Revenue Growth (%)	7.9%	14.0%	8.0%	5.0%	4.0%	3.0%
Inv. Mgmt Fees Growth (%)	14.0%	6.0%	5.0%	4.0%	3.0%	3.0%
Other Non-II Growth (%)	-17.9%	3.0%	3.0%	3.0%	3.0%	3.0%

JPM Balance Sheet Projections

Loan growth and funding strength reinforce long-term earnings



JPM	2025A	2026E	2027E	2028E	2029E	2030E
Loan Growth (%)	10.9%	8.0%	7.0%	5.0%	4.0%	4.0%
Inv. Securities Growth (%)	14.1%	3.0%	3.0%	3.0%	3.0%	3.0%
Trading Assets Growth (%)	25.9%	4.0%	4.0%	3.0%	3.0%	3.0%
Other EA Growth (%)	9.3%	3.0%	3.0%	3.0%	3.0%	3.0%